

Pre Payment Plans

Provided there is no pre-payment penalty involved, it is usually best for borrowers to pay off the principal of their mortgage as quickly as possible if they want to reduce the amount they will pay in interest over time. When borrowers make their regular mortgage payment, interest is paid before principal. Only a small portion of the initial payments go toward principal, and this is true for several years, with the amount applied toward the principal gradually increasing. However, anything extra the borrower puts toward the mortgage payment can be applied directly to the principal immediately, reducing the principal, which reduces the amount the interest is based on. The sooner a borrower does this, the better because it can reap huge interest savings over time. Here are few prepayment plans borrowers may choose to employ.

Biweekly Plan

Divide your mortgage payment in half; pay half of it every two weeks

You will make an extra full mortgage payment each year (26 half-payments = 13 full payments)

Example

Mortgage payment is \$1800. Every two weeks, borrower pays \$900, making for 26 payments of \$900, or an extra \$1800 paid each year.

1/12 Plan

Divide your monthly payment by 12; add this amount to your mortgage payment each month.

Not only will you pay an extra mortgage payment, by dividing the amount by 12, you are repaying 1/12 immediately, which is better than saving the entire amount up and making one extra payment at the end of the year.

Example

Mortgage payment is $\$1,600/12 = \133.33 . Payment = $\$1,733.33/\text{month}$.

Lump Sum Plan

When bonus money arrives (tax refunds, etc.), allocate a portion (or all) of it toward principal.

The sooner principal is paid down, and lump sum payments are great for this, the less interest you will pay over time.

Example

You receive a tax refund of \$2000, and add that to your monthly mortgage payment that month. It reduces your principal owed by \$2,000.

Set Dollar Over

If paying 1/12 extra feels like too much, even an extra \$25 per month can make a difference

Using automatic payments, increase your payment by an amount that feels comfortable, and have the extra portion applied toward principal.

Example

You pay an extra \$25 or \$50 each month toward principal.

Snowball

After paying off another debt, for instance a student loan debt or a car payment, put that amount toward principal each month.

You won't feel the hit in your budget because you are already used to paying this amount.

Example

Your mortgage is \$1200. Your car payment is \$200. You sell or pay off your car. Make mortgage payments of \$1400, with the extra \$200 going toward principal.

There may be reasons not to pay off your mortgage early. Many financial advisors recommend paying off high-interest loans first. However, other advisors say the opposite: pay off the long-term debt first because over time it can cost you more, even if the interest rate is low. There are also tax disadvantages to lowering the interest you pay. And putting funds toward your principal mean they are not available for other uses (they are not liquid). If you were to lose your job, for instance, you would have trouble getting a home equity loan.

It may be best to take out a home equity line of credit (that is not used) prior to beginning a prepayment plan. In that way, you can access funds if you need them, and you can still capitalize on the benefits of prepayment.